Rolex Rings Ltd

Concall tracker, Q2-2027 folder · NSE: ROLEXRINGS · Rajkot, Gujarat

Rolex Rings forges and machines steel parts. It started as a bearing-ring maker (the rings inside ball bearings) for firms like SKF, Schaeffler and Timken, and now earns more from precision auto components (transmission and engine parts) sold mostly to US and European car and truck parts makers.

1. Snapshot

Number	Value	Plain read
Market cap	₹5,517 cr	What the whole company is worth on the stock market.
Sales, FY26	₹1,144 cr	Flat for the third year running; FY24 was ₹1,222 cr. Tariffs and a weak industrial bearing market held it back.
Sales, last 12 months	₹1,274 cr	Up about 15%, mostly from the Sep 2026 quarter.
Sep 2026 quarter sales	₹389 cr, up 43% on a year ago	Best quarter ever, by a distance. The June quarter was ₹304 cr.
Operating margin (OPM)	24% in Sep 2026 quarter, 20% in FY26	How many rupees of each ₹100 of sales are left after running costs. It's climbing.
Net profit, Sep 2026 quarter	₹74 cr vs ₹44 cr a year ago	Profit up about two-thirds.
Debt	Zero	Fully paid off. The company went through debt restructuring (CDR) in 2013 and exited it in 2022.
P/E	24.7	Investors pay about 25 years of current profit for the share. Not cheap, not wild.

2. Concall coverage

Quarter	Call date	Read?
Q3 FY24 to Q2 FY26 (8 calls)	Feb 2024 to Nov 2025	Skimmed for guidance, targets, capex, tariffs
Q3 FY26	Feb 2026	Read
Q4 FY26	May 2026	Read
Q1 FY27	6 Aug 2026	Read in full
Q2 FY27	Not yet published	PENDING: the Sep 2026 results are out but the call transcript isn't on Screener yet

Eleven calls over about three years. The newest call for the Sep quarter is still pending, so the Sep numbers above come from the results, not from management commentary.

Latest concall highlights, Q1 FY27 (6 Aug 2026)

- June quarter sales up only 4% because of a labour shortage on the shop floor in the hot summer and wedding season. Management said orders were there; output wasn't. July 2026 was the highest-sales month in the company's history.
- Auto components grew 13.5%; bearing rings fell 6%, with the weak spot in big industrial bearings in India and Europe.

- The big US customer (Allison) that cut orders by 35-40% in FY26 because of tariffs is back near its FY25 run rate. A second customer gave orders for new plants, with one or two more plants starting supply in Q3.
- Guidance held: mid-teen sales growth (15-17%) for FY27 and close to 20% for FY28, with operating margin of 21-22% (conservative, because ocean freight to the US has jumped two to three times).
- ₹180 cr share buyback finished; promoters didn't take part. Company is debt-free with surplus cash.

Business mix & capacity
Auto components are about 65-70% of sales, and about three-quarters of those are exported. Bearing rings are about 72% domestic. Overall, roughly half of sales go abroad (US and Europe).
Capacity use was 63-65% in Aug 2026, with a target of 70-72% for FY27. Plenty of room to grow without a new plant; capex runs about ₹30-40 cr a year.

3. Earning trigger thesis

The driver is the return of US auto-component orders after the tariff shock, plus new programs from existing Western customers that started supply late in FY26 and ramp through FY27. Because plants run at under two-thirds of capacity, extra volume drops straight into margin. The Sep 2026 quarter (sales up 43%, margin at 24%) is the first proof that it's showing up in the numbers.

Trigger	What management said	Evidence so far	Time horizon	Strength
US customer recovery	Tariff hangover ends from Q1 FY27; Allison back near FY25 level (Aug 2026)	Export auto parts ₹118 cr in Q1 vs ₹90 cr a year ago; Sep quarter sales jumped	FY27	Strong: visible in two quarters
New programs and plants	New plant orders, 1-2 more plants start supply in Q3 FY27	Programs started late FY26 ramping now	FY27-FY28	Moderate: promised, partly showing
Margin from mix and spare capacity	21-22% FY27, plus half a point in FY28	Three straight quarters of margin rise; 24% in Sep 2026	FY27-FY28	Strong
Dana business via Allison	Early talks; revenue 12-18 months away	None yet	FY28+	Unproven
Bearing rings	Industrial demand flat; looking for new overseas customers to cut Timken dependence	Segment still shrinking	Unclear	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already debt-free; nothing new to cut.
New business	Yes	"Other customer, where we got a new order for the new plants... 1 or 2 plants, again, in the third quarter, we are going to start the supply" (Aug 2026)
Margin up	Yes	"Third consecutive quarter of a year-on-year margin expansion... a structural improvement" (Aug 2026)
New management	No	Same CMD and CFO through the period.

New capacity	No	Running at 63-65%; only routine capex.
Big orders	No	Order book called "healthy" but no size given.
Turnaround	Yes	"The U.S. is coming back. Tariffs have normalized and customers who were in a wait-and-watch mode..." (May 2026)
Promoter buying	No	Promoters stayed out of the buyback; their stake rose only because shares were cancelled.

Single concrete driver: US and European car-parts customers are ordering again after the tariff freeze, and new programs for a big transmission customer's new plants are ramping up on spare capacity.

3c. Margin bridge

Operating margin was about 20% a year ago and 24% in the Sep 2026 quarter. Management credits a richer mix (more machined, export auto parts), tighter raw-material buying and better use of idle plants. They call it structural, though they're guiding only 21-22% for the year because US ocean freight has spiked. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2024	New European auto customers add growth; capex about ₹45-50 cr	FY25 sales fell 5%; capex about ₹52 cr	Partly
Feb-Jun 2025	FY26 growth around 15% from new orders, recovery from Q2 FY26	US tariffs hit; FY26 sales fell 1%	Missed
Nov 2025	Mid-teen FY26, high-teen FY27 (as reminded by analysts)	FY26 missed; FY27 guide trimmed to mid-teen	Missed
Feb 2026	Tariff hangover ends from Q1 FY27, sharp recovery	US customer back to FY25 level by Aug 2026; Sep quarter up 43%	Delivered
May 2026	Buyback; debt-free; margin above 20%	Buyback done; margin 22.6% then 24%	Delivered
Aug 2026	Mid-teen FY27 growth, margin 21-22%	First half up about a quarter on sales	Too-early

Narrative drift: The story has been steady: shift toward value-added auto components and exports. What kept slipping was timing. Management called a recovery every quarter through FY25 and FY26 and kept being wrong, mostly because of US tariffs they couldn't control. The tone is upbeat by habit, so treat their timing claims with care. The balance-sheet promises (exit CDR, debt-free, return cash) were kept.

5. Bottom line

Durable earning trigger? → YES

The US recovery and new programs moved from promise to numbers in the Sep 2026 quarter, and with plants at under two-thirds use, there's room to keep growing without heavy spending. The weak spot is bearing rings, which still lean on a few big customers in a flat industrial market.

Management consistent? → MAYBE

The direction never changed, and the debt and buyback promises were kept. But growth guidance was missed two years running and recovery dates kept moving. The latest quarter finally backs them up; one more good quarter would firm it up.

6. Checkpoints for next quarter

- Full-year mid-teen sales growth guidance is held or raised

- Operating margin stays at or above the guided range
- Supply to the new customer plants starts in Q3 as promised

Sources: Screener.in financials and 11 concall transcripts (Feb 2024 to Aug 2026). Q2 FY27 transcript pending. This is not investment advice. Do your own due diligence.